

POSC 3710: European Politics

9/21/2026: THE WELFARE STATE

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Where We Left Off

- Last Time: the EU doesn't do everything. Important, but small budget, no standing army, no welfare state
- Most of the spending that shapes people's lives happens at home
- Earlier: nations were built by states, and two party families built the postwar settlement
- Today: what those parties actually built. And: why are European welfare states so different than American ones?

Child Care in Two Countries



Child Care In The UK Versus In Sweden

BBC

► Plays in full · 2 minutes 9 seconds

fallback: [youtube.com/watch?v=aw7c2s_NbfQ](https://www.youtube.com/watch?v=aw7c2s_NbfQ)

Opening Discussion

- What do we mean when we say “welfare state”? What is actually in it?
- What should its main goal be?
- Are there parts of the economy where more government makes sense? Where less does? Economically, or morally?

What Does a Welfare State Do?

- Pensions and health care are the two big items almost everywhere, and together they dwarf the rest
- Then: unemployment insurance, disability, family benefits, housing, childcare, active labor market programs
- Poor relief, the part Americans call “welfare”, is usually a small slice of the total
- Most of the money does not go to the poor. It goes to the old, the sick, and families with children
- So, who is the welfare state actually for?

Is Welfare a Right?

- T. H. Marshall, a British sociologist writing in 1950, said citizenship arrived in three waves
- Civil rights first (property, contract, a fair trial), then the vote, then social rights
- A social right is a claim on a decent standard of living, held as a citizen not a customer
- Gøsta Esping-Andersen starts here: social citizenship is the core of a welfare state
- A right, or a favor someone can withdraw?

Two things a welfare state might be for

PIGGY BANK

Insurance:

moving your own money across your own life

- You pay in while you are working and draw out when you are young, old, sick or out of work
- **Most of the spending works this way:** pensions, health, education, parental leave
- The **middle class are the main customers**, not the poor
- The argument for it: markets cannot insure these risks well, and private savings fail exactly when everyone needs them at once

ROBIN HOOD

Redistribution:

moving money from those with more to those with less

- Progressive taxes fund benefits aimed at the people with least
- The argument for it: much of what determines your income is luck you did not choose
- Means tests, targeting, poverty reduction as the goal
- The share of spending that does this is smaller than most people assume

From poor relief to social insurance, 1601-1975

England's Poor Law:
parishes relieve the
destitute, and sort the
'deserving' poor from the
rest

1601

Britain: the National
Insurance Act brings health
and unemployment cover
to some workers

1911

Britain: William Beveridge
names five giants to
eliminate — Want, Disease,
Ignorance, Squalor,
Idleness

1942

1883-89

Germany: Bismarck's
health, accident and old-
age insurance: the first
national social insurance

1932

Sweden: Per Albin
Hansson's Social Democrats
begin the folkhemmet, the
'people's home'

1945-75

The golden age: coverage
becomes universal and
spending climbs across
Western Europe

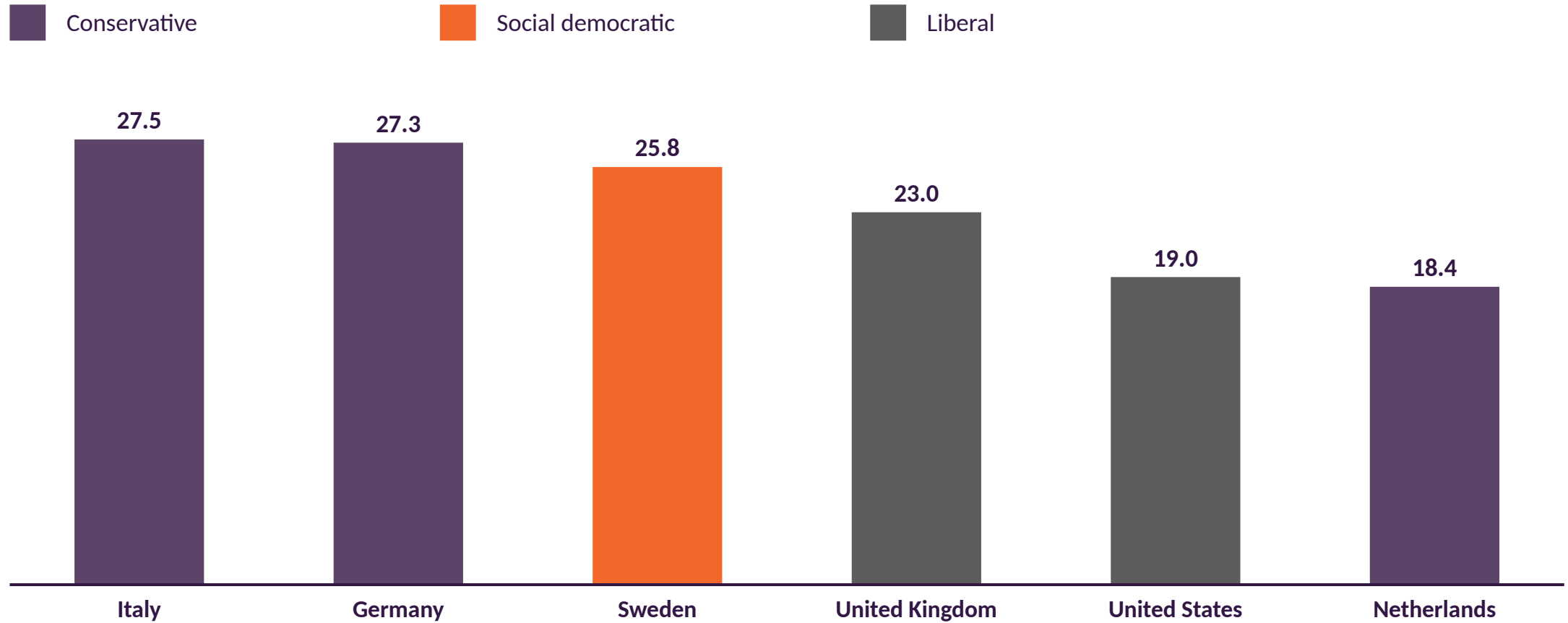
Why Would Bismarck Build a Welfare State?

- Otto von Bismarck was the German Empire's first chancellor, a conservative aristocrat and no friend of the working class
- In 1878 he banned the Social Democrats outright. Five years later he started insuring their voters
- The point was to pull workers away from socialism by meeting the insecurity that made socialism attractive
- It also bought social peace during breakneck industrialization, and tied citizens to the state that paid them
 - Presages Christian Democratic strategy; a welfare state to buy social peace

How to measure the welfare state?

- The obvious measure is social spending as a share of the economy. Esping-Andersen says it will mislead you
- His phrase: spending is “epiphenomenal”, meaning a by-product, not the substance of what a welfare state is
- Two states can spend the same and do completely different things with it
- Spending also rises when things go badly: mass unemployment raises the bill without anyone deciding anything
- So how would you think about measure the welfare

Public social spending as a share of GDP, 2023



Esping Andersen: Decommodification

- How far can you live a normal life without selling your labor?
- A commodity is sold on a market. Without a welfare state, so is your capacity to work
- The test: can you refuse a bad job, or stop working when sick, and still get by?
 - The more you can, the more decommodified

Three worlds, and what each one is trying to do

	LIBERAL	CONSERVATIVE	SOCIAL DEMOCRATIC
Who gets help	Those who can prove they need it: means tests, modest benefits	Workers, through their job and at the level their job earned them	Everyone, as a citizen, at a level the middle class will accept
What it is for	A floor under the market, incentivizing work	Holding society's existing order steady	Equality, and making people independent of the market
The family	Left to itself; buy services on the market	Assumed to care for its own; the state steps in when it can't	Its costs socialized: childcare, healthcare, education and elder care as public services
Decommodification	Low	Moderate; higher if you are an 'insider'	High
Where	United States, Canada, Australia, and Britain in large part	Germany, France (sort of), Italy (sort of), Austria	Sweden, Norway, Denmark

These are ideal types: no real country is a pure case! The point is that they are different designs, not different amounts of the same thing. Many scholars add a fourth, Southern world (Italy, Spain, Greece)

The Paradox of Redistribution

- How to best help the poor? One answer is to provide means tested services to the poor
 - Except that the countries which target hardest tend to reduce poverty least
- The states paying benefits to everybody, including people who don't need them, redistribute more
- **Programs for the poor are politically weak.** Programs everyone tend to be more popular.
- What's the logic?

So Why Doesn't the US have a Euro Style Welfare State?

- Every rich democracy built a welfare state after 1945, but the richest built the smallest
- Europe spends about a quarter of GDP on social programs; the US about a sixth
- US has higher levels of poverty, inequality, etc. Seemingly this should lead to demand for a WFS
- So what explains it?

It Isn't the Economics

- More unequal before taxes, so more to redistribute?
True, but should predict more demand
- European taxes do less damage, so redistribution is cheaper there? No evidence
- Americans face less risk, so need less insurance? Their incomes are more volatile
- Americans are richer and can buy their own insurance?
Richer usually predicts spending more

Four features of the American system that made redistribution harder

HOW VOTES BECOME SEATS

Winner-take-all districts

- To win, a party must get a majority
- Proportional systems let a workers' party into parliament and then into government
- Across rich democracies, more proportional systems spend more on transfers

NO SOCIALIST PARTY

Nobody to carry the demand

- Europe's welfare states were largely built or forced by labor-backed parties
- America never got a durable one, so the demand had no vehicle
- Ethnic divisions inside the working class competed with class ones

FEDERALISM

Multiple levels = multiple veto points

- Programs can be blocked at the state level, or undercut by the state next door
- But Germany is federal too, so this cannot do the work alone

THE COURTS

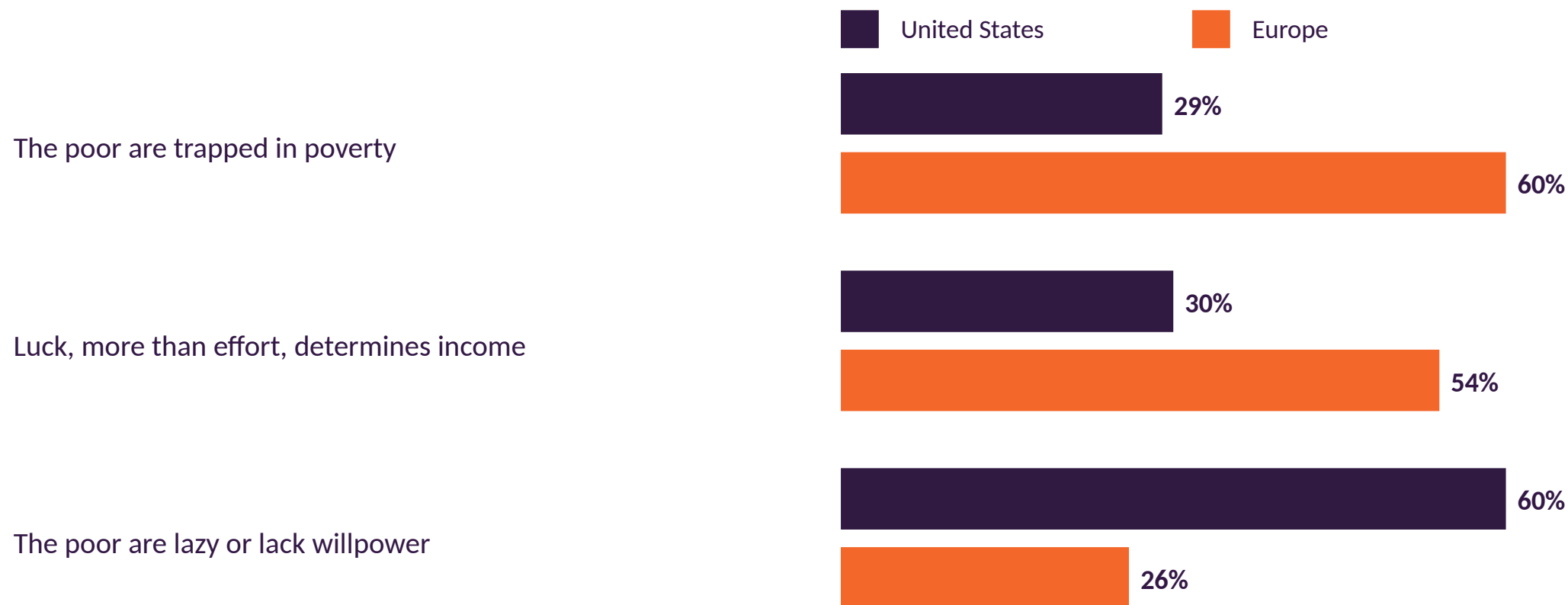
Another Veto point that Europe Lacks

- The Supreme Court struck down the income tax in 1895; it took a constitutional amendment to restore it
- Narrowed the ACA's Medicaid expansion (NFIB v. Sebelius, 2012)
- Courts read property rights as a limit on what government could redistribute

Or, is it demographics?

- Their second answer: who do you picture?
- More ethnically divided societies redistribute less, across countries and within them
- In the US, race (and attitudes about race) is the strongest single predictor of what people think about welfare
- The mechanism: people give less when the beneficiaries seem unlike them

Americans and Europeans on why people are poor



Data from World Values Survey as reported in Alesina and Glaeser

Who Objects to the Welfare State

FROM THE MARKET RIGHT

**It distorts the market,
and it costs too much**

- Generous benefits blunt the incentive to work, save, and take risks
- Taxes fall on the people who invest and employ
- Large public bureaucracies are slower and dearer than markets would be

FROM THE POPULIST RIGHT

**Welfare is great, but it goes
to the wrong people**

- Welfare chauvinism: benefits should go to natives first, not to immigrants
 - Or, often, not to the children of immigrants or those who are not white European
- Because too many people claim it, costs more than the country can afford

FROM THE THIRD WAY

**It should be
a trampoline, not a safety net**

- Benefits should be tied to training, job search and education
- Generous, but built to get people back to work rather than to keep them out of it
- British prime minister Tony Blair and US president Bill Clinton, to some extent Barack Obama
 - Emmanuel Macron is another example

Discussion

- Piggy bank or Robin Hood: which is the American welfare state mostly for? Which is Sweden's?
- If universal programs really do redistribute more, why does targeting keep winning the argument?
- South Carolina and Sweden are about the same size. What would it take to build a Swedish welfare state here [assume the federal government + courts let SC do whatever they want]? Would it be desirable?
- Both of today's readings end up at electoral rules: Alesina & Glaeser for America, Manow for Europe's variety. Just a coincidence?

Where We Go Next

- Next: health care, the second-biggest thing a welfare state does. We will look closely at three cases
- Then: if welfare states are so expensive and under attack from all sides, why have almost none of them been dismantled?

The Federal Republic of Clemson

- Welfare is one of your five manifesto dossiers
- Three things to figure out: who is covered, who pays, and what it is trying to achieve. Pick one and say why
- Manifesto due Wednesday 9/30, ~2,000 words